

CASE STUDY ON ADIDAS

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Abstract

This paper examines the key challenges and opportunities in corporate finance through a detailed case study of Adidas. The study into the company's financial strategies, capital structure, competitive positioning, and dividend policies, providing insights into their influence on future growth and sustainability according to the past performance. A comparative analysis with competitors such as Nike, Puma, and Under Armour highlights Adidas's dependence on debt financing, unstable credit ratings, and cyclical dividend practices. Through financial ratio analysis and Weighted Average Cost of Capital (WACC) calculations, the research evaluates Adidas's financial condition and explores the trade-offs between delivering shareholder returns and reinvesting for growth. The findings indicate that Adidas's aggressive financing strategy bolsters growth potential but heightens financial risks, especially during economic downturns. In contrast, Nike exemplifies financial stability by balancing reinvestment and shareholder returns, while Puma and Under Armour prioritize growth through reinvestment over immediate payouts. The paper concludes with recommendations to optimize Adidas's financial strategies, aiming to enhance profitability, improve creditworthiness, and long-term value creation.

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List of Abbreviations

WACC ----- Weighted Average Cost of Capital

EBIT ----- Earnings Before Interest and Taxes

EBITDA----- Earnings Before Interest, Taxes, Depreciation, and Amortization

ROC ----- Return on Capital

D/E ----- Debt-to-Equity Ratio

Rf ----- Risk-Free Rate

Rm-Rf ----- Market Risk Premium

β_L ----- Levered Beta

S&P----- Standard & Poor's (Credit Rating Agency)

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1 Introduction

This paper focuses on finding key challenges and opportunities in corporate finance by an in-depth case study of adidas. Our goal is to understand the company's financial strategies, competitive positioning, and ideal capital structure, as well as how these factors influence its future growth and sustainability. This analysis is crucial because it highlights the ways financial decisions affect both corporate performance and stakeholder value. Additionally, the study aims to uncover the interconnected relationships between financing decisions, credit ratings, and dividend policies—areas that are often neglected in more fragmented approaches.

1.1 The primary objective:

This paper focuses on evaluating the financial health and key decisions of Adidas and compare with top competitors where relevant. The main goals are:

Financing Choices: To look at the company's financing decisions and their effects on its growth and risks.

Credit Rating Trends: Analyzed the company's credit ratings and the financial for last 5 years.

Capital Structure: Finding the optimal capital structure using cost of capital approach.

Dividend Policy: Company's approach to dividends payout and active share buyback program.

1.2 Methodology

The analysis is based on an in-depth review of the company's financial statements and industry benchmarks. To ensure an in-depth understanding, data will be collected from the company's financial reports, financial website like yahoo finance. To make data consistent across all area all relevant data are taken from same source.

Ratio analysis will be used to evaluate the company's financial performance and identify trends over time. WACC calculations will help find the company's cost of financing and its helps identify the investment decisions. Additionally, the company's performance will be compared to its competitors, providing valuable context within the industry. The paper aims to provide a well-rounded evaluation of the company's financial strategies and their impact on overall success.

2 Company overview

Adidas is a global leader in the sportswear industry, with a history of over 70 years. Founded in Germany in 1949, the company is known for its focus on performance, style, and innovation. Adidas operates in more than 160 countries, offering a variety of products such as footwear, clothing, and accessories. These products are designed to appeal to athletes, casual users, and fashion lovers around the world.¹

Adidas is one of the top-performing companies in the sportswear industry. Its focus on creating new products and improving efficiency has helped it keep strong profits, even with tough competition. The company's approach to different regions, like using specific marketing strategies and offering products suited to local preferences, has made it successful in key markets such as Europe, North America, and Asia.

However, Adidas also faces challenges. It competes with strong brands like Nike and Puma, deals with changing customer tastes, and manages issues in the global supply chain. By staying flexible and adjusting its strategies, Adidas works to keep its market position and find new ways to grow.²

This summary provides a basic understanding of Adidas's business and sets the stage for a more detailed comparison with its competitors.

2.1 Main competitors of adidas

The sportswear industry is very competitive, with Adidas competing against major players like Nike, Puma, and Under Armour. Below is a comparison of these competitors:

Nike: As Adidas's biggest rival, Nike is known for its strong brand recognition, wide product range, and bold marketing strategies. Its also focus on innovation and leadership in both performance and lifestyle categories makes it a tough competitor in the global market.

Puma: This is another Germany based brand, Puma targets both athletic and casual markets with its mix of sportswear and fashion. Main advantage of puma is the affordable pricing and unique designs.

¹ History - <https://www.adidas-group.com/en/about/history>

² Sneaker supremacy: Nike and Adidas battle for brand love - <https://www.marketingdive.com/news/sneaker-supremacy-nike-adidas-brand-rivalry/621712/>

Under Armour: Fairly new competitor, Under Armour has quickly made a name for itself with performance-driven products. Its use of innovative materials and focus on digital fitness solutions set it apart from more traditional sportswear brands.

3 Financing Choices

Adidas's approach to financing has been dynamic, adapting to strategic goals and market conditions over the years. A closer look at key financial metrics highlights trends and areas of concern:

Debt-to-Equity Ratio: Adidas's debt-to-equity ratio has fluctuated over the year, peaking at 2.79 in 2022 before dropping slightly to 2.66 in 2023. This upward trend reflects a growing reliance on debt, possibly to support expansion or address liquidity needs. By contrast, Nike has maintained a more stable debt-to-equity ratio, signalling a cautious and balanced approach to financing.

Debt-to-Asset Ratio: Adidas's debt-to-asset ratio increased steadily, moving from 0.65 in 2019 to 0.73 in 2022, and stabilizing at 0.72 in 2023. This rise indicates a greater reliance on debt to finance assets. This trend can be problematic to Adidas's focus on external funding for growth.

Net Debt-to-EBITDA Ratio: A sharp increase in Adidas's net debt-to-EBITDA ratio, from 2.96 in 2019 to 8.59 in 2023, reveals declining earnings relative to debt levels. This significant rise signals a heightened risk to solvency, as servicing debt could become increasingly difficult without substantial revenue improvement.

EBIT Interest Coverage Ratio: The EBIT interest coverage ratio dropped dramatically from 18.13 in 2019 to 2.71 in 2023. This decrease reflects reduced operational efficiency and limits Adidas's ability to cover interest expenses. Comparatively, competitors like Nike and Puma maintain stronger interest coverage ratios, reflecting healthier financial flexibility.

Liquidity Ratios: Adidas's liquidity metrics reveal strong short-term financial stability. The current ratio, which improved to 1.55 in 2021, fell to 1.21 by 2023, suggesting reduced capacity to cover short-term obligations but still a good current ratio. But the quick ratio, which dropped to 0.65 in 2023 compared to 1.10 in 2021, points to declining immediate liquidity, emphasizing the need for stronger cash flow management.

Cash Flow-to-Debt Ratios: Adidas has struggled with cash flow performance in recent years. Both cash flow-to-debt and free cash flow-to-debt ratios were negative in 2022 (-0.036 and -

0.0026, respectively), indicating insufficient operational cash to meet debt obligations. Although these ratios improved in 2023, they remain below optimal levels, reflecting ongoing liquidity challenges. Which can be improve by optimizing capital structure.

Ratio	2019	2020	2021	2022	2023
Debt to Equity Ratio	1.930423693	2.1464654	1.82467781	2.7929359	2.6588832
Short-Term vs. Long-Term Debt	1.797905114	1.59476061	1.68041237	1.62746132	1.5920428
Current Ratio	1.249029015	1.37691175	1.55538204	1.26736524	1.2195698
Debt to Asset Ratio	0.658752418	0.68218306	0.64597732	0.73635199	0.7266926
Net Debt-to-EBITDA Ratio	2.965669701	4.98701299	3.41552511	7.54909285	8.5891016
Return on Equity (ROE)	0.280005668	0.06456434	0.27000128	0.11437115	-0.0152284
EBITDA Margin	0.162648054	0.10476718	0.14439107	0.08324819	0.063378
EBIT Interest Coverage Ratio	18.13461538	6.48407643	18.9189189	6.20714286	2.7116564
Quick Ratio	0.782385195	0.87878101	1.10819855	0.6221238	0.6569688
Cash Flow-to-Debt Ratio	0.206929458	0.10346748	0.22321678	-0.03633322	0.20084
Free Cash Flow-to-Debt Ratio	0.250825809	0.12985657	0.25776224	-0.00260957	0.2285605

Table 1 : Various ratio of adidas 2019-2023

3.1 Solvency Ratios

Adidas's financing decisions have changed over the years to adapt to its strategies and market conditions. The debt-to-equity ratio of Adidas fluctuated significantly between 2019 and 2023. It started at 1.93 in 2019, increased to 2.79 in 2022, and slightly declined to 2.66 in 2023. Puma's debt-to-equity ratio showed moderate stability, increasing from 1.28 in 2019 to 1.67 in 2022, reflecting controlled financial leverage. Under Armour demonstrated the lowest and most consistent debt-to-equity levels, ranging from 1.25 in 2019 to 1.21 in 2023, suggesting a cautious approach to toward debt.

Comapany Name	2019	2020	2021	2022	2023
Adidas	1.93	2.15	1.82	2.79	2.66
Nike	1.62	2.89	1.96	1.64	1.68
Under Armour	1.25	2.00	1.39	1.43	1.21
Puma	1.28	1.66	1.51	1.67	1.57

Table 2 : Debt to Equity Ratio Comparison

In comparison, Nike's debt-to-equity ratio reached a peak of 2.89 in 2020 but stayed steady in the following years, showing a more careful and balanced approach to borrowing. Puma and Under Armour had lower and more stable ratios. Under Armour, in particular, kept the lowest numbers, showing it prefers to grow without relying much on debt.

During this period, Adidas's reliance on debt increased, potentially to fund new product lines, expand operations in emerging markets, and invest in sustainable initiatives. The higher debt levels in 2022 can be because of covid-19 where most of the non-digital company lost so much revenue, they need a lot of external funding to be stay in business.

4 Credit Ratings and Financial Ratios Analysis

4.1 Credit Ratings

Adidas's credit ratings was excellent but recently rating companies have changed it's rating.

In 2021 and 2022, Adidas held an A+ rating from S&P. However, the outlook shifted from stable to negative. This change reflected concerns about rising financial leverage and declining profitability. By 2023, the rating was downgraded to A- with a continued negative outlook. This downgrade corresponded with a drop in EBIT interest coverage, which fell from 6.21 in 2022 to 2.71 in 2023, and a high debt-to-equity ratio.

On the other hand, Nike showed strong stability during the same period. The company consistently maintained an AA- rating with a stable outlook from both S&P and Moody's. This reflects Nike's stable financial performance, including high EBIT interest coverage and strong returns on capital.

Under Armour kept its BB rating across all five years but showed improvements in its outlook. By 2022, the outlook turned positive, reflecting significant growth in its EBIT interest coverage. This figure rose from 0.58 in 2020 to 52.88 in 2023.

Puma does not have formal credit ratings.

Adidas				
Year	S&P Rating	S&P Outlook	Moody's Rating	Moody's Outlook
2020	N/A	N/A	N/A	N/A
2020	A+	Stable	A2	Stable
2021	A+	Stable	A2	Stable
2022	A+	Negative	A2	Negative
2023	A-	Negative	A3	Negative

Nike				
Year	S&P Rating	S&P Outlook	Moody's Rating	Moody's Outlook
2019	AA-	Stable	A1	Stable
2020	AA-	Stable	A1	Negative
2021	AA-	Stable	A1	Negative
2022	AA-	Stable	A1	Stable
2023	AA-	Stable	A1	Stable

Under Armour				
Year	S&P Rating	S&P Outlook	Moody's Rating	Moody's Outlook
2019	BB	Stable	Ba3	Stable
2020	BB	Stable	Ba3	Stable
2021	BB	Stable	Ba2	Positive
2022	BB	Positive	Ba2	Positive
2023	BB	Stable	Ba2	Stable

Puma				
Year	S&P Rating	S&P Outlook	Moody's Rating	Moody's Outlook
2019	N/A	N/A	N/A	N/A
2020	N/A	N/A	N/A	N/A
2021	N/A	N/A	N/A	N/A
2022	N/A	N/A	N/A	N/A
2023	N/A	N/A	N/A	N/A

Table 3 : Credit Rating

4.2 Relation between Financial Ratios and Credit Rating

Debt-to-Equity Ratio: Adidas's higher debt-to-equity ratio in 2022 correlates with declining creditworthiness. Nike's stable ratios support stronger ratings.

EBIT Interest Coverage Ratio: Adidas's declining interest coverage (18.13 in 2019 to 2.71 in 2023) highlights reduced capacity to meet obligations, while Nike's higher ratios explain its superior ratings.

Return on Capital (ROC): Adidas's declining ROC aligns with lower credit ratings, while Puma and Nike maintain stable profitability, supporting stronger ratings.

Debt to Equity Ratio Comparison						
Comapany Name	2019	2020	2021	2022	2023	
Adidas	1.93	2.15	1.82	2.79	2.66	
Nike	1.62	2.89	1.96	1.64	1.68	
Under Armour	1.25	2.00	1.39	1.43	1.21	
Puma	1.28	1.66	1.51	1.67	1.57	
EBIT Interest Coverage Ratio						
Comapany Name	2019	2020	2021	2022	2023	
Adidas	18.13461538	6.48407643	18.9189189	6.20714286	2.7116564	
Nike	32.37908497	21.6214286	23.7337884	23.9344828	18.870317	
Under Armour	14.13127392	0.58642493	21.8835329	15.7679779	52.885953	
Puma	11.00229358	5.85581395	13.490991	12.9052045	7.5906681	
Return on Capital (ROC)						
Comapany Name	2019	2020	2021	2022	2023	
Adidas	13.68%	4.84%	9.49%	4.28%	2.45%	
Nike	20.89%	9.66%	18.43%	17.21%	17.45%	
Under Armour	5.26%	0.33%		6.24%	4.92%	
Puma	9.90%	5.01%	12.00%	14.29%	15.04%	

Table 4: Adidas and Competitor's D/E , EBIT/interest and ROC ratio

4.3 Restructuring to Increase Credit Ratings

Restructuring efforts aimed to enhance liquidity, reduce financial risk, and improve key solvency metrics such as the debt-to-equity ratio and EBIT interest coverage. Improved credit ratings would lower borrowing costs and strengthen investor confidence, positively impacting shareholder value. But restructuring efforts yielded mixed results. While Adidas achieved marginal improvements in its debt-to-equity ratio and liquidity position by 2023, as evidenced by a decline from 2.79 in 2022 to 2.66 in 2023, profitability metrics such as EBIT interest coverage and return on capital continued to deteriorate. This suggests that the targets for improving credit ratings were only partially achieved. The ongoing negative outlook by Moody's highlights the need for sustained efforts to address profitability challenges.

5 Relative Analysis of Capital Structure with Industry Peers

To examine the financial position of Adidas in the industry with respect to its capital structure, the debt-to-equity ratios of major competitors—Nike, Under Armour, and Puma—were calculated for a five-year period running from 2019 to 2023. The debt-to-equity ratio is one of the major indicators used in analysing the financial leverage and capital structure of a firm, as it reflects the amount of debt used compared to shareholder equity in financing the company's operations. In addition, statistical measures such as mean, median, and minimum values were calculated to assess Adidas' position relative to the industry. The book values of total debts and total equity were used in calculating the debt-to-equity ratios of Adidas and its competitors.

The chart below presents the trends of the debt-to-equity ratio of Adidas and its competitors for five years.

Comapany Name	2019	2020	2021	2022	2023
Adidas	1.93	2.15	1.82	2.79	2.66
Nike	1.62	2.89	1.96	1.64	1.68
Under Armour	1.25	2.00	1.39	1.43	1.21
Puma	1.28	1.66	1.51	1.67	1.57

Table 5 : Debt/Equity Ratio

Adidas consistently maintained a higher debt-equity ratio than its competitors. The debt-to-equity ratio of the company has fluctuated between 1.81 in 2021 and reached a high of 2.79 in 2022. Over the five years, Adidas had an average debt-to-equity ratio of 2.27, which is considerably higher than the overall industry average of 1.81. This shows that Adidas relies more on debt financing compared to its competitors. On the other hand, Puma and Under Armour exhibit lower and more consistent debt-to-equity ratios, suggesting a more stable financing strategy. While, Nike's debt-to-equity ratio reached higher levels in specific years, notably in 2020 (2.89), reflecting greater volatility over the observed period.

To provide a clear picture of Adidas's standing within the industry, the following table summarizes the statistical measures regarding the debt-to-equity ratios for all competitors.

Metrics	Adidas	All Companies Combained
Mean	2.27	1.81
Median	2.15	1.66
Minimum	1.82	1.21
Maximum	2.79	2.89

Table 6 : Debt to Equity Ratio (Statistical Measure)

The industry's combined mean of 1.81 and median of 1.66 essentially highlight the fact that Adidas relies on debt more than most of its peers. Indeed, Adidas' peak D/E ratio in 2022 of 2.79 is just below the industry maximum of 2.89, recorded by Nike in 2020, thus placing Adidas among the most leveraged companies in the industry. Although Adidas' ratios essentially remain within the overall range observed for the industry, this means though their capital structure is aggressive, is not an outlier.

From a yearly perspective, Adidas had its lowest debt-to-equity ratio of 1.82 in 2021. This happened during the time of recovery after the pandemic, which means Adidas had better equity or decreased its debts. However, the increase to 2.79 in 2022 would suggest a more aggressive financing policy, likely due to specific investment activities or growth initiatives undertaken during that period.

This increase in leverage has important implications. While high debt ratios can be good in times of low interest rates and high revenue growth, it also exposes the company to greater financial risk, especially in times of economic downturns or when the interest rate is on the rise. Competitors such as Puma and Under Armour, with their lower debt-to-equity ratios, may have greater financial flexibility to navigate such challenges. Despite the higher ratios, Nike seems to balance its leverage strategically, with a decline in its debt-to-equity ratio after the peak in 2020.

In summary, the debt-to-equity ratio of Adidas reflects a more aggressive capital structure compared to its peers in the industry. While this strategy has the potential to enhance investment returns, it needs prudent risk management practices to mitigate potential financial vulnerabilities. The trends identified underline Adidas' confidence in using debt as a means of expansion, while at the same time highlighting the need for constant monitoring of financial stability in a competitive and dynamic industry.

5.1 WACC-Approach of Adidas and Its Competitors:

The cost of capital approach emphasized optimizing Adidas's capital structure to minimize financing costs and maximize shareholders' value. By calculating the Weighted Average Cost of Capital (WACC) across varying debt levels, Adidas' optimal debt-to-capital ratio has been identified, which indicates the optimal balance between debt and equity financing.

5.2 Adidas' Optimal Capital Structure:

To calculate the Weighted Average Cost of Capital (WACC) for Adidas' key inputs such as a Risk-Free Rate (R_f) of 2.48, a Market Risk Premium ($R_m - R_f$) of 5.70%, a Marginal Tax Rate of 30%, and a Levered Beta (β_L) of 1.16 were used. All the inputs were taken according to Germany's market based on 31st December 2023 date.

Debt to Capital Ratio	Cost of Equity	After-tax Cost of Debt	Cost of Capital
0%	7.19%	2.016%	7.19%
10%	7.56%	2.436%	7.05%
20%	8.02%	3.136%	7.04%
30%	8.61%	5.586%	7.70%
40%	9.39%	6.811%	8.36%
50%	10.49%	7.861%	9.18%
60%	12.14%	6.833%	8.96%
70%	14.89%	7.959%	10.04%
80%	20.39%	9.168%	11.41%
90%	36.89%	9.592%	12.32%

Table 7 : Adidas's Cost of Capital Schedule

According to Adidas' cost of capital schedule chart, Adidas achieves its lowest WACC of 7.04 at a 20% debt-to-capital ratio compared to its current WACC of 7.26% at a debt-to-capital ratio of 28.48%. At the optimal ratio, the cost of equity is 8.02%, while the after-tax cost of debt is 3.14%—the ideal balance between equity and debt financing.

Currently, Adidas has 13,095 million in debt, which is at 28.48% of the debt-capital-ratio level. To meet the optimal 20% debt-to-capital ratio to maximize firm value, Adidas needs to lower its debt to approximately €9195.12 million. This would reduce the firm's debt by €3899.88 million and put Adidas on par with the 20% target. The WACC would decrease from 7.26% to 7.04%, while the firm value would increase to €14,928 million. By reducing debt, Adidas would strengthen its capital structure and, consequently, promote financial stability while reducing the cost of financing.

This conservative adjustment is supported by the cost of capital analysis, which reveals a rapid increase in WACC as debt levels rise beyond 20%. The following line graph visually highlights Adidas' cost of equity, the after-tax cost of debt, and overall WACC at various debt levels to evidence the importance of a 20% debt-to-capital ratio to improving the firm's financial performance.

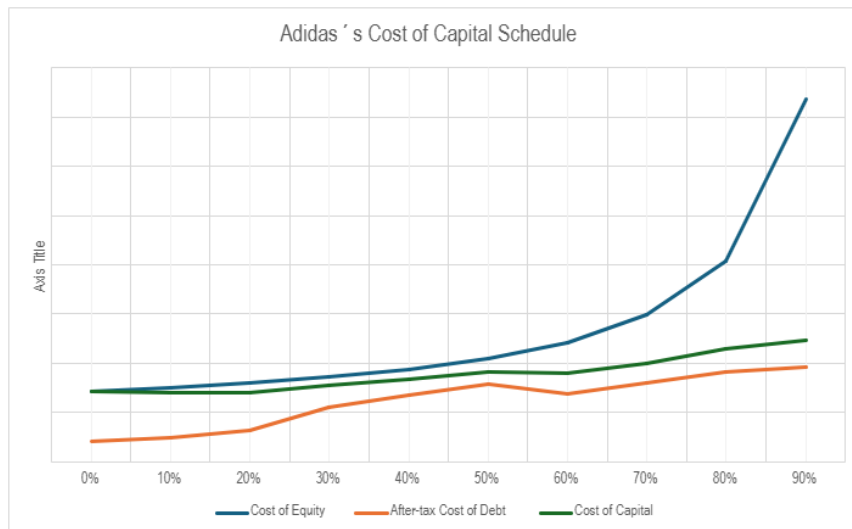


Figure 1 : Adidas's Cost of Capital Schedule

5.3 Explanations for Deviations from the Industry Mean:

The optimal debt-to-capital ratio for Adidas is 20%, which is considerably lower compared to the industry average of 43.33% which is computed by considering Nike's 50% and Under Armour's 60% of debt-to-capital ratio. Puma's optimal debt-to-capital ratio couldn't be considered while calculating the industry average as there was no information about the credit rating of Puma. This large deviation can be explained by multiple factors specific to the financial strategy, operations of Adidas, and overall market conditions.

5.4 Reasons for the large difference:

5.4.1 Tax Benefits of Debts Are Limited:

Adidas operates in a moderate tax environment, with a 30% marginal tax rate. This limits the benefits it can gain from the tax-deductibility of interest payments. For firms in higher-tax countries, using more debt is more appealing as it reduces taxable income. For Adidas, because of its relatively low marginal tax rate, the tax savings from having debt are relatively small; hence, there is less benefit from holding more debt. In Adidas's case, they get tax benefits after 80% of debt which relatively increases the cost of capital.

5.4.2 Declining Intangible Assets:

Adidas relies heavily on intangible assets, such as the brand and intellectual property, which are not easily accessible to be used as collateral against new loans. Further, the value of Adidas' intangible assets has significantly declined over the years, from €2.73 billion in 2019

to €1.68 billion in 2023. This reduction decreases the ability of Adidas to take on more debt without increasing financial risk. As the intangible assets have a co-relation with a credit rating from rating agencies. On the other hand, competitors like Nike and Under Armour have more tangible or stable bases of assets that allow them to maintain high levels of debt.

5.4.3 Firm Value Impact:

A major reason Adidas avoids a higher debt ratio is that moving closer to the industry's average optimal ratio of 43.33% would decrease the firm's value, even though it might lower its WACC further. All things considered, at a 20% debt-to-capital ratio, Adidas achieves a balance that maximizes its firm value. Increasing the debt beyond this level would only reduce the firm's value because of increased financial risks, such as increased costs of equity and potential distress.

5.4.4 Variability in Income:

Adidas operates in a highly competitive and consumer-driven industry where revenue is influenced by seasonality, changing preferences, and economic conditions. From 2019 to 2023, its revenue declined from €23.64 billion to €21.43 billion, while operating profits dropped significantly from €2.83 billion to €442 million. This volatility increases the risk of financial distress if debt levels are too high. Adidas mitigates this risk and secures financial flexibility in periods of economic decline by adhering to a conservative debt-to-capital ratio of 20%.

The huge gap between Adidas' optimal capital structure, which is 20% and the industry average of 43.33% reveals that Adidas' case is unique. By contrast, Nike and Under Armour are in a better position to support higher levels of debt given their higher operating income, increased tax shield benefits, lower dependence on intangible assets, and a more predictable income stream. By contrast, Adidas faces increased risks in terms of income volatility and a decreasing asset base, thus making a lower level of debt more appropriate.

6 Recommended Financing Choices

From the financial analysis of Adidas, it is found that an optimal debt-to-capital ratio of 20% means that a significant change in capital structure is essential for better financial stability and a reduction in its Weighted Average Cost of Capital (WACC). Currently, Adidas has €13,095 million in debt, representing a 28.48% debt-to-capital ratio, which is above the optimal level. The following financing options are recommended to increase shareholder value and improve financial performance:

6.1 Optimal Capital Structure Analysis: Reduce Debt

To reach the optimal debt-to-capital ratio of 20%, which is the operating capital structure for Adidas, the company's debt needs to be reduced from €13,095 million to an amount of €9195.12 million. This requires a reduction in debt by €3899.88 million, which can be achieved through these means:

Use Operating Cash Flows: Adidas can use part of its operating cash flows to repay some of the existing debt, making sure that progress toward the target level of debt is made gradually.

Divest Non-Core Assets: This will provide additional funds to reduce debt without impacting core operations by selling underperforming or non-core assets.

Refinance High-Cost Debt: It is in the best interest of Adidas to refinance expensive debt with longer-term, lower-cost instruments to reduce the overall cost of borrowing.

Debt reduction to the optimal level would lower Adidas' WACC from 7.26% to 7.04% and increase the firm value to €14,928 million, enhancing long-term financial stability.

6.2 Restrict New Debt Financing

To avoid further deviations from its optimal capital structure, Adidas should put a cap on new debt issuance. This is especially important considering the company's dependence on intangible assets and declining profitability. Future financing needs should favour equity or internal cash flows instead of debt, to maintain the 20% target ratio and decrease financial risks when income varies.

6.3 Favour Equity Financing for Strategic Investments

If Adidas needs to raise capital for growth purposes, equity financing is preferred. In order not to increase leverage in the balance sheet of the company, since income is still quite volatile, and due to its intangible asset base, that somewhat limits the usage of collateral, the equity financing will be adequate for the following:

Expansion into Emerging Markets: Tapping growth potential of relatively untapped markets without having excessive leverage on the company's balance sheet.

6.4 Increase Liquidity Reserves

The dwindling cash and cash equivalents of Adidas—from €3.99 billion in 2020 to €1.43 billion in 2023—points toward a compelling priority to increase its liquidity reserves.

Maintaining raised levels of liquidity would enhance the ability of Adidas to weather future economic recessions and sudden adversities, if any, with less need to increase its borrowing.

6.5 Monitor Financial Risks and Interest Rate Environment

Adidas needs to keep a close eye on the rising interest rates within the macroeconomic environment, increasing the cost of servicing debt. This lowers exposure to such risks by keeping the debt level low and hence enhances its ability to navigate adverse economic conditions.

The financing strategy for Adidas should henceforth be one of debt reduction, to achieve an optimal 20% debt-to-capital ratio and not increase further debt issuance but rather equity or internal funds that are preferred for growth. These changes will ensure better financial stability, lower WACC, and maximize shareholder value while ensuring the company remains resilient in a competitive and volatile industry.

7 Dividend Policy

7.1 Historical Dividend Policy

Adidas paid no dividends in 2020. By 2022, they paid \$3.30 per share but dropped sharply to \$0.70 in 2023. Nike paid dividends every year. They went from \$0.86 in 2019 to \$1.32 in 2023. Under Armour did not pay any dividends as they chose to focus on growth. Puma slowly increased their dividend from \$0.16 in 2021 to \$0.82 in 2023. Adidas's payout ratio was 0% in 2020. It climbed to nearly all of its earnings by 2022 before falling to -1.67 in 2023, which shows the company lost money that year. Nike kept a stable payout ratio around 0.30 to 0.40, showing steady profits. Puma's payout ratio grew slowly, while Under Armour did not have a payout ratio because they did not pay dividends. Adidas's dividend yield was highest at 2.59% in 2022, meaning they returned more to shareholders when they were profitable. In 2023, the yield fell to 0.38%. Nike's yield was steady and reached 1.74% by 2023. Puma's yield stayed about the same, and Under Armour cannot be compared due to no dividends.

Comapany Name	2019	2020	2021	2022	2023
Adidas	\$3.35	0	\$3.00	\$3.30	\$0.70
Nike	\$0.86	\$0.95	\$1.07	\$1.19	\$1.32
Under Armour	\$0.00	\$0.00	\$0.00	\$0.00	\$0.00
Puma	\$0.35	\$0.00	\$0.16	\$0.72	\$0.82

Table 8 : Dividend per share

Comapany Name	2019	2020	2021	2022	2023
Adidas	1.16%	0.00%	1.18%	2.59%	0.38%
Nike	0.85%	0.67%	0.64%	1.10%	1.74%
Under Armour	0.00%	0.00%	0.00%	0.00%	0.00%
Puma	0.51%	0.00%	0.15%	1.27%	1.82%

Table 9 : Dividend yield

Comapany Name	2019	2020	2021	2022	2023
Adidas	0.34	0.00	0.28	0.99	-1.67
Nike	0.34	0.58	0.29	0.31	0.40
Under Armour	0.00	0.00	0.00	0.00	0.00
Puma	0.20	0.00	0.08	0.31	0.40

Table 10 : Dividend Ratio

Nike's dividend policy reflects stability and profitability, making it a consistent dividend payment. Adidas's policy is cyclical, aligning dividends with profitability, while Puma shows modest growth. Under Armour remains a non-dividend payer, prioritizing reinvestment over shareholder distributions.

7.2 Share Buybacks

Adidas reduced its share buybacks from \$ 0.837 billion in 2019 to \$ 29 million in 2023 because it had less free cash and different priorities. In good financial times, these buybacks helped increase value for shareholders. On the other hand, Nike increased its buybacks over time, reaching \$5.48 billion in 2023. This steady rise shows Nike's strong focus on giving back to shareholders and its skill in generating steady free cash flow. In contrast, Puma and Under Armour did not do any buybacks. Instead, they put their money back into their businesses to grow, gain more market share, and stay flexible with their finances. This choice reflects their focus on early growth and long-term plans instead of just giving immediate returns to shareholders.

Comapany Name	2019	2020	2021	2022	2023
Adidas	837000000	286000000	1032000000	2530000000	29000000
Nike	4286000000	3067000000	608000000	4014000000	5480000000
Under Armour	0.00	0.00	0.00	0.00	0.00
Puma	0.00	0.00	0.00	0.00	0.00

Table 11 : Share buy back

Adidas gave back a lot of cash to its shareholders by paying dividends and buying back shares. Between 2019 and 2023, Adidas spent over \$ 4.714 billion on share buybacks alone. Nike used a similar approach but returned even more money overall which is 17.455 billion. In contrast, Under Armour and Puma focused on reinvesting their profits back into their businesses, showing that they are in different stages of growth.

7.3 Trade-offs in Dividend Policy

Adidas, Nike, Puma, and Under Armour each approach dividend policy with different trade-offs, influenced by their financial health, growth strategies, and market positioning. Adidas's cyclical dividend policy reflects its struggle to maintain consistent payouts while addressing financial challenges. Dividends and share buybacks appeal to income-focused investors. These come at the expense of reinvesting in growth initiatives, such as product development and market expansion. The decline in dividends in 2023 underscores the conflict between maintaining shareholder satisfaction and preserving liquidity for operational needs.

Nike, on the other hand, balances dividends and reinvestment effectively, leveraging its consistent profitability and strong cash flows. Its steady dividend increases and robust share buyback programs underscore its financial strength, offering stability for shareholders while retaining sufficient capital for innovation and expansion. Puma and Under Armour, in

contrast, emphasize reinvestment over shareholder payouts. By focusing on retaining earnings, they maintain financial flexibility and prioritize growth. However, this strategy may alienate income-focused investors seeking regular returns.

Financial flexibility is a critical component of dividend policy trade-offs. Companies like Adidas risk financial strain by committing to high payouts during periods of low profitability, as seen in its negative payout ratio in 2023. In contrast, Nike's stable dividend policy and reinvestment balance provide a buffer against market volatility, enhancing financial resilience. Dividend cuts, such as Adidas's reduction in 2023, can negatively impact investor confidence, signaling financial difficulties. Conversely, consistent payouts, as seen with Nike, reinforce a positive market perception, attracting long-term investors.

In conclusion, the trade-offs in dividend policy vary significantly among these firms. While Nike's stability makes it a benchmark for balanced shareholder returns and growth, Adidas's cyclical approach reflects the challenges of managing liquidity and profitability. Puma and Under Armour represent growth-oriented strategies, prioritizing reinvestment to build long-term value at the expense of immediate shareholder returns.